

1. Acquisition

An acquisition occurs when one company takes over another company and becomes its owner. In this process, the acquiring company absorbs the target company, which ceases to exist as an independent entity.

Key Features of Acquisition

- **Ownership Transfer:** The acquiring company gains control over the target company's operations, assets, and liabilities.
- **Hostile or Friendly:** Acquisitions can be hostile (without the consent of the target company) or friendly (with mutual agreement).
- **Example:** Facebook's acquisition of Instagram in 2012.

Types of Acquisitions

1. **Horizontal Acquisition:** Acquisition of a company in the same industry.
 2. **Vertical Acquisition:** Acquisition of a company in the supply chain.
 3. **Conglomerate Acquisition:** Acquisition of a company in a different industry.
-

2. Merger

A merger occurs when two or more companies combine to form a new entity. Both companies mutually agree to share resources, liabilities, and profits in the new entity.

Key Features of Merger

- **Equality:** Both companies combine their assets and liabilities and often rebrand as a single entity.
- **Purpose:** Usually done to expand markets, reduce competition, or achieve synergies.
- **Example:** The merger of Vodafone and Idea Cellular in India (now Vodafone Idea Limited).

Types of Mergers

1. **Horizontal Merger:** Between companies in the same industry.

- 2. **Vertical Merger:** Between companies in the supply chain.
- 3. **Conglomerate Merger:** Between companies in unrelated industries.

Comparison Between Acquisition and Merger

Aspect	Acquisition	Merger
Nature	One company takes over another.	Two companies combine as equals.
Control	Acquirer gains control.	Joint control is shared.
Purpose	Expansion or market dominance.	Synergy and resource sharing.
Outcome	Target company loses identity.	Both companies form a new entity.

Methods of Acquisition and Merger

Acquisitions and mergers can be executed using various methods depending on the strategic goals, financial structure, and regulatory considerations. Below is a detailed explanation of the different methods:

Methods of Acquisition

1. Stock Purchase

- The acquiring company purchases the target company's shares directly from its shareholders.
- The acquirer gains control of the company by owning the majority of its stock.
- **Example:** Google acquiring Fitbit in 2021.

Advantages:

- Ownership of all assets and liabilities.
- Direct transfer of control.

Disadvantages:

- Time-consuming if shareholders are dispersed.
-

2. Asset Purchase

- Instead of buying the company's stock, the acquiring company purchases specific assets like property, machinery, or patents.
- The target company may retain its liabilities.
- **Example:** Sale of Yahoo's core assets to Verizon.

Advantages:

- Avoids inheriting liabilities.
- Flexible transaction structure.

Disadvantages:

- May not provide complete control.

3. Hostile Takeover

- The acquirer directly approaches shareholders or launches a tender offer when the target company's management resists.
- Often involves aggressive tactics like proxy battles.
- **Example:** Kraft Foods' hostile takeover of Cadbury in 2010.

Advantages:

- Forces the deal even without management approval.

Disadvantages:

- May damage future relations and reputation.
-

4. Management Buyout (MBO)

- The company's management buys out the majority of shares to take control.
- Often supported by external financing.
- **Example:** Dell's management buyout in 2013.

Advantages:

- Ensures experienced leadership continues.

Disadvantages:

- Requires substantial financing.
-

Methods of Merger

1. Horizontal Merger

- Companies in the same industry combine to reduce competition and gain market share.
- **Example:** Disney and Pixar.

Advantages:

- Reduces competition.
- Achieves economies of scale.

Disadvantages:

- May raise antitrust concerns.
-

2. Vertical Merger

- A company merges with another in its supply chain, such as a supplier or distributor.
- **Example:** Amazon acquiring Whole Foods.

Advantages:

- Ensures supply chain control.
- Reduces dependency on external suppliers.

Disadvantages:

- High integration costs.
-

3. Conglomerate Merger

- Two companies in unrelated industries merge to diversify their businesses.
- **Example:** Tata Group's merger with Tetley Tea.

Advantages:

- Reduces business risk.
- Expands into new markets.

Disadvantages:

- May lack strategic synergy.
-

4. Reverse Merger

- A private company merges with a publicly listed company to become public without an IPO.
- **Example:** Burger King's merger with Justice Holdings.

Advantages:

- Faster access to public markets.

Disadvantages:

- Risk of inheriting liabilities from the public company.

Definition of Acquisition

An acquisition occurs when a company (the acquirer) buys a majority or all of another company's (the target's) shares to take ownership. The target company may retain its identity as a subsidiary, or it may be absorbed entirely.

Different Ways of Acquisition

1. Stock Purchase

- In this method, the acquiring company buys the target company's shares from its shareholders.
- By acquiring more than 50% of the shares, the acquirer gains control.

Key Features:

- Direct control of the target company.
- Ownership of all assets and liabilities.

Example: Facebook acquiring Instagram in 2012.

2. Asset Purchase

- The acquiring company buys specific assets of the target company, such as equipment, intellectual property, or real estate, instead of its shares.
- Liabilities are generally not transferred unless explicitly stated.

Key Features:

- Suitable for companies looking for specific resources.
- Limits the risk of acquiring liabilities.

Example: Verizon purchasing Yahoo's core assets in 2017.

3. Merger or Amalgamation

- The acquiring company combines with the target company to form a new entity.
- This is often a friendly acquisition where both companies mutually agree to merge.

Key Features:

- Both companies cease to exist as separate entities.
- Achieves synergy and resource sharing.

Example: Vodafone and Idea Cellular merger in India.

4. Hostile Takeover

- Occurs when the acquiring company directly approaches shareholders or launches a tender offer, bypassing the target company's management.
- This is usually done when the target company's management resists the acquisition.

Key Features:

- Can lead to significant conflict.
- Often involves proxy battles or legal challenges.

Example: Kraft Foods' hostile takeover of Cadbury in 2010.

5. Management Buyout (MBO)

- In this approach, the company's existing management team acquires the company's shares to take control.
- Often involves external financing, such as private equity funds.

Key Features:

- Ensures continuity in leadership.
- Common in private companies.

Example: Dell's management buyout in 2013.

6. Leveraged Buyout (LBO)

- The acquiring company uses borrowed funds (leverage) to purchase the target company.
- The acquired company's assets are often used as collateral for the loan.

Key Features:

- High financial risk due to dependency on debt.
- Aims for high returns if the acquired company performs well.

Example: Blackstone Group's acquisition of Hilton Hotels in 2007.

7. Reverse Takeover

- A private company acquires a publicly traded company to go public without going through an IPO process.

Key Features:

- Quick access to public markets.
- Cost-effective alternative to an IPO.

Example: Burger King's reverse merger with Justice Holdings.